Income Tax Department
Government of India

Guidelines for the purposes of section 10(*10C*).

2BA. The amount received by an employee of—

(*i*) a public sector company; or

(*ii*) any other company; or

(*iii*) an authority established under a Central, State or Provincial Act; or

(*iv*) a local authority; or

(*v*) a co-operative society; or

(*vi*) a University established or incorporated by or under a Central, State or Provincial Act and an institution declared to be a University under section 3 of the University Grants Commission Act, 1956 (3 of 1956); or

(*vii*) an Indian Institute of Technology within the meaning of clause (*g*) of section 3 of the Institutes of Technology Act, 1961 (59 of 1961); or

(*viia*) an institution, having importance throughout India or in any State or States, as the Central Government may, by notification in the Official Gazette, specify in this behalf; or

(*viii*) such institute of management as the Central Government may, by notification in the Official Gazette, specify in this behalf,

at the time of his voluntary retirement or voluntary separation shall be exempt under clause (*10C*) of section 10 only if the scheme of voluntary retirement framed by the aforesaid company or authority or co-operative society or University or institute, as the case may be or if the scheme of voluntary separation framed by a public sector company, is in accordance with the following requirements, namely :—

(*i*) it applies to an employee who has completed 10 years of service or completed 40 years of age;

(*ii*) it applies to all employees (by whatever name called) including workers and executives of a company or of an authority or of a co-operative society, as the case may be, excepting directors of a company or of a co-operative society;

(*iii*) the scheme of voluntary retirement or voluntary separation has been drawn to result in overall reduction in the existing strength of the employees;

(*iv*) the vacancy caused by the voluntary retirement or voluntary separation is not to be filled up;

(*v*) the retiring employee of a company shall not be employed in another company or concern belonging to the same management;

(*vi*) the amount receivable on account of voluntary retirement or voluntary separation of the employee does not exceed the amount equivalent to three months' salary for each completed year of service or salary at the time of retirement multiplied by the balance months of service left before the date of his retirement on superannuation :

Provided that requirement of (*i*) above would not be applicable in case of amount received by an employee of a public sector company under the scheme of voluntary separation framed by such public sector company.

Explanation.—In this rule, the expression "salary" shall have the same meaning as is assigned to it in clause (*h*) of rule 2 of Part A of the Fourth Schedule.